SENATE BILL 840
By Walley

HOUSE BILL 966

By Hawk

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 51; Title 8, Chapter 4; Title 9 and Title 49, relative to the use of excess lottery funds pursuant to Article XI, Section 5 of the Constitution of Tennessee.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 4-51-111, is amended by adding the following language as a new subsection (g):

(g)

(1) There are created two (2) special accounts in the state treasury, with the first to be known as the "K-12 lottery capital outlay special account," referred to as the "lottery capital outlay account", and the second to be known as the "early learning program account".

(2) Any funds remaining in the lottery for education account, including the balances of the general shortfall reserve subaccount and the special reserve subaccount created pursuant to subdivision (b)(4), at the end of each fiscal year in excess of two hundred fifty million dollars ($250,000,000) are deemed excess lottery funds and must be allocated and transferred to the lottery capital outlay account and the early learning program account. Excess lottery funds must be distributed equally between the two (2) special accounts.

(3)

(A) Moneys in the lottery capital outlay account must be used exclusively for capital outlay projects for K-12 educational facilities consistent with Article XI, § 5 of the Constitution of Tennessee and in accordance with § 8-4-120. Such moneys must supplement, not supplant, non-lottery educational resources for capital outlay projects for K-12 educational facilities.

(B) Moneys in the early learning program account must be used exclusively for expenses needed to operate new or existing pre-kindergarten (pre-K) programs consistent with Article XI, § 5 of the Constitution of Tennessee and in accordance with § 8-4-120. Such moneys must supplement, not supplant, non-lottery educational resources for capital outlay projects for K-12 educational facilities.

(4) Any balance remaining unexpended at the end of a fiscal year in the special accounts does not revert to the lottery for education account or the general fund but must be carried forward into the subsequent fiscal year.

(5) Notwithstanding this section to the contrary, interest accruing on investments and deposits of the special accounts must be credited to the accounts, do not revert to the lottery for education account or the general fund, and must be carried forward into the subsequent fiscal year.

(6) Moneys in the special accounts must be invested by the state treasurer in accordance with § 9-4-603.

SECTION 2. Tennessee Code Annotated, Title 8, Chapter 4, Part 1, is amended by adding the following language as a new section:

8-4-120.

(a)

(1) The comptroller shall develop and administer a grant program for capital outlay projects for K-12 educational facilities using funds available in the K-12 lottery capital outlay special account created pursuant to § 4-51-111(g).

(2) The comptroller shall develop and administer a grant program for new or existing pre-kindergarten (pre-K) programs using funds available in the early learning program account created pursuant to § 4-51-111(g).

(b) The comptroller shall:

(1) Establish a uniform application form and application process for grants awarded pursuant to this section; and

(2) Establish matching dollar requirements for grants awarded pursuant to this section based on need.

(c)

(1) Grants must be awarded or credited annually to each local education agency (LEA) in this state.

(2) Except as provided in subdivision (c)(3), each LEA shall be awarded an amount equal to the sum of the annual allocation and transfer made to each account pursuant to § 4-51-111(g)(2), if any, and accrued interest pursuant to § 4-51-111(g)(5), if any, less a reasonable amount pursuant to subsection (e), times the ratio of the LEA's average daily membership to the state total average daily membership. For the purposes of this subdivision, "average daily membership" has the same meaning as defined in § 49-3-104.

(3) Individual LEA grants not awarded pursuant to subdivision (c)(2) in any year must be credited and accumulated for the benefit of the individual LEA and included in the LEA's grant availability in each subsequent year until awarded; provided, that if grants are not available in a subsequent year pursuant to subdivision (c)(2), an LEA may apply for the amount credited and accumulated for the benefit of the LEA. Any unawarded amounts, plus any accrued interest, must carry forward in the name of the individual LEA until awarded.

(d) The comptroller is authorized to audit an LEA awarded a grant pursuant to this section for compliance with this section and § 4-51-111(g).

(e) Costs incurred by the comptroller in administering a grant program created under subdivision (a)(1) or (a)(2), must be funded from the K-12 lottery capital outlay special account or the early learning program account, as applicable and as part of such program.

SECTION 3. Tennessee Code Annotated, Section 49-4-901, is amended by deleting the language "allocated first to early learning programs" and substituting instead the language "allocated to early learning programs and capital outlay projects for K-12 educational facilities in accordance with § 4-51-111(g)".

SECTION 4.

(a) The Comptroller of the Treasury is authorized to promulgate rules as the Comptroller may deem necessary to effectuate the purposes of this act. All such rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

(b) Notwithstanding Tennessee Code Annotated, Sections 4-5-208 and 4-5-209 or any other law to the contrary, the Comptroller of the Treasury is authorized to promulgate emergency rules to implement this act.

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it.